



The 1997-2000 “Lyons Plant Expansion” Project

Extraordinary Implications on the
Continuation of Nonconforming Status

April 10th, 2023

Executive Summary

- The Lyons cement production operation has been operating as a pre-existing Nonconforming Use and Structure since the Boulder County Land Use Code was adopted on October 18th, 1994
- From 1997-2000, CEMEX's predecessor entity, Southdown ("CEMEX/Southdown"), invested **\$10.3 Million** ([according to DOJ and EPA actions](#)) in what was referred to as the "**Lyons Plant Expansion**" or "**Lyons Capacity Increase**" project. This project included [major upgrades and construction of new accessories](#), which expanded the clinker production capacity of the plant by **125,000** tons, from **450,000** to **575,000** tons per year.
- Prior to 1997, there is **no record of clinker production ever exceeding 450,000 tons per year**, but this threshold is regularly exceeded in the years *after the expansion project*, including years '98, '99, '00, '03 where production exceeded **500,000 tons per year**.
- CEMEX/Southdown performed this major expansion **without appropriate federal, state or county building permits.**
- The upgrade increased **Air Pollution**, including NOx, SO2, CO and VOC, regulated pollutants under the Clean Air Act.
- In 2007, the [US DOJ and EPA sued CEMEX/Southdown](#) under the Clean Air Act for not obtaining requisite construction permits for a "Major Modification" and [settled in 2013](#) for \$1M and an agreement to install pollution controls. The State of Colorado also settled in 2009 for ~\$600K and improvement to air quality controls.
- There is no evidence that Boulder County was aware of these modifications until now, as there are **no Building Permits on file with the County related to this Project.** Section 4-1003.H.2 of the Land Use Code explicitly removes the entitlement of the property owner to continue as a Nonconforming Use should the County eventually discover that a termination event occurred.
- Based on these facts, CEMEX/Southdown made alterations and enlargements to its facilities and operation in 1997-2000 that warrant **immediate termination** of its Nonconforming Use under section 4-1003 of the Boulder County Land Use Code, and we urge Boulder County to **act swiftly and decisively**.

\$10.3 Million “Lyons Plant Expansion”

- Expansion project conducted from 1997 to 2000, documented in [USA v. CEMEX, Inc.](#)
- Classified as “Major Modification” by EPA under Clean Air Act
- Expanded capacity from **450,000 to 575,000 tons per year** (28% increase) under AFE #98097 at estimated cost of **\$10.3 Million** (1997 dollars)
 - Raw Mill System: increase production rate from 130 to 140 tons per hour by upgrading the existing raw material dryer circuit or adding an additional flash dryer circuit.
 - Kiln System: upgrade cooler drag chains, upgrade cooler fans, and upgrade cooler grates.
 - Finish Mill System: install a high efficiency separator to increase production by 10% on the mill system, install a new bag house for the separator
 - Oxygen Plant: construction of a new onsite oxygen plant
- From *USA v. CEMEX Inc.*: “Evidence from both parties makes clear that the changes were something more than mere replacement of machinery with functional equivalents or *de minimis* changes to operations”
- From *USA v. CEMEX Inc.*: “No reasonable fact finder could conclude that modifications of these types (whether taken individually or as aggregated components of a single project) could be considered merely “routine” adjustments to the Lyons facility.”
- Appropriate Federal, State and County Building/Construction Permits **Were Not Obtained**
- Federal EPA Lawsuit filed 2007, [settled in 2013](#) for \$1M+ & agreement to install Pollution Controls
- State of Colorado filed action in 2006, [settled in 2009 for ~\\$600K](#) and air quality improvements
- No known Boulder County action or settlement



Nonconforming Use Termination (Section 4-1003.C.1)

“The right to continue a nonconforming use **terminates immediately** when [there is an] **Addition of a New Structure Containing or Accessory to the nonconforming use** [or] an enlargement or alteration of a structure containing or accessory to the nonconforming use [or] any other alteration or improvement in **excess of normal or routine maintenance of the structure**”



CEMEX Lyons Production vs Capacity

Before and After Unpermitted Expansion Project in 1998

— Capacity Before Expansion Project — Capacity After Expansion Project (1998) — Clinker Production

\$10.3MM “Lyons Plant Expansion”
Construction Project to Upgrade
Capacity (1997)

Dowe Flats Mine & Conveyor Goes
Live (1997)

Boulder County Land Use Code Adopted;
Cement Plant, Kiln and Use Classified as
Pre-Existing Nonconforming
(1994)

Illegal Enlargement and/or Alteration(s)
definitively occur under Section
4-1003 of Boulder County Land Use
Code and is cause for termination of
Nonconforming Use (1998 onwards)

EPA & DOJ Sue CEMEX for Unpermitted
Major Modifications under Clean Air Act and
Increase In Air Pollution (2007)

CEMEX Settles with EPA, Pays \$1M
Settlement and Agrees to Air Pollution
Controls (2013)

Sources: [EPA Notice of Violation](#), [United States v. CEMEX Inc.](#), [Annual Inspection Reports from CDPHE for Permit 95OPBO082](#)

Nonconforming Use Termination (Section 4-1003.C.1.d)

“The right to continue a nonconforming use **terminates** **immediately** when [there] is **any** other enlargement or **alteration** of the nonconforming use **which has the effect or threatened effect of creating a hazard or nuisance on or off the property, of adversely affecting the character of the neighborhood, or of intensifying the use of the land or its need for services.**”



Note: This is a very broad clause that can be triggered by any enlargements or changes to the nonconforming use that potentially threaten public health and safety, create a nuisance, hazard, or intensify use of the land or services.

[Source: Boulder County Land Use Code](#)

What are examples of nuisances?

- **Excessive noise:** A use that generates excessive noise, such as a loud construction site, can be considered a nuisance if it disrupts the peaceful enjoyment of nearby properties.
- **Odors:** A use that generates offensive odors, such as a livestock operation or a waste treatment facility, can be considered a nuisance if it causes discomfort or inconvenience to nearby residents.
- **Visual impacts:** A use that has a negative visual impact on the surrounding area, such as a billboard or a poorly maintained property, can be considered a nuisance if it affects the aesthetics of the community.
- **Health hazards:** A use that poses a health hazard, such as an abandoned building with lead paint or a hazardous waste storage facility, can be considered a nuisance if it poses a risk to the health and safety of the community.
- **Traffic congestion:** A use that generates excessive traffic can be considered a nuisance if it causes congestion and delays on the roads.



Conclusion

- The “Lyons Expansion Project” occurred **after** the Land Use Code was adopted in 1994; this is an incontrovertible, indisputable fact as outlined in *USA v. CEMEX, Inc.*
- The **\$10.3M** expansion project allowed the Cement Lyons facility to increase its production, create even more air pollution, threaten public health and safety, and involved new accessory structures, major alterations and improvements far beyond “routine” maintenance.
- Despite this major project occurring 25 years ago, the facts of the case provide ample evidence for Boulder County to **terminate continued Nonconforming Use** under multiple sub-sections of 4-1003 of the Land Use Code.
- Property owners make illegal modifications to their properties all the time, only to be discovered years or decades later after ownership has been transferred.
- In this case, Southdown made the modifications, then promptly sold the business in Nov, 2000 to CEMEX *after* the upgrades and the establishment of Dowe Flats Mine and Conveyor.
- Importantly, a transfer of ownership of a Nonconforming property **does not** absolve the acquirer from ongoing liability.
- CEMEX absorbed this liability when it acquired Southdown; that is part of the business risk of M&A transactions.
- In light of this evidence, we urge Boulder County to take **decisive, swift action**.